COMPANY GROWTH FACTORS

Since we started with industries that have the potential to grow, we must then focus on company-specific growth factors. For instance, ethanol demand is a positive for the entire sugar-producing industry. However, when we look at individual companies, we need to look at unique and hard-to-replicate traits that make a company better at producing ethanol.

Total customers in market = 

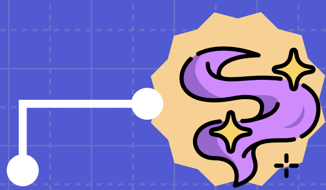
New entrants in the market
Customers attracted/hijacked by = 

Companies are referred as disruptors

These factors do not contribute to the growth of the entire industry but they impact the market shares within the industry. For instance, new product releases might attract more customers but they might not increase the size of the entire target audience.

Similarly, new entrants in the market will not always increase the size of the market but they might hijack a chunk of market share from existing players. Such companies are sometimes referred to as disruptors.

NO MAGIC FORMULAS!



One last thing you must remember while trying to find winners is that there is no set formula or procedure to identify them. You may find clues in newspapers, online articles, data published by government bodies, and various marketplaces. You need to keep an eye out for changes in how industries and individual players in markets operate.

Once again, you must remember that finding winners that are yet unknown is a herculean task and even finding one or two such companies can lead to outrageous investment returns.